

Money Mistake: Your Child Can't Take No for an Answer

THE FIX: STRENGTHEN YOUR NOS OR LEAVE THE KID AT HOME

The baby is doing fine, growing fast, and before you know it, you've got a toddler on your hands. I've stepped around many a toddler arched in full-body tantrum, refusing to stop crying or leave the store until Mom or Dad buys him or her the thing the toddler desperately wants. It's ugly. The parents, traumatized by their child's embarrassing public behavior, tell themselves they'll give in *just this once*. But what they don't realize is that by giving in financially, they animate the dormant spending zombie in their children. The child learns that losing control is a good way to control the parents' spending habits. The parents feel the only way to appease the child is to purchase something to shut the child up. It's a toxic combination—and marketing, advertising, even product placement in big-box stores encourage the continuation of this terrible habit.

My wife used to take a minute before bringing our kids into such volatile environments as toy stores, carefully outlining exactly what was going to happen in that store. She'd tell them they were there to buy a gift for a cousin or for a friend's birthday party, and they weren't buying anything else. So Savannah and Trevor understood what was going to occur before they could even begin bargaining. (By the way, a child in the middle of intense bargaining is a thing to behold. I sometimes wish I could hire toy-motivated children to sell mutual funds.)

I've made a lot of mistakes as a parent, but here's something I will say we did right: My wife and I said no to our children really, really well. Our nos were so solid, they could have been carved into the side of Mount Rushmore. My nos have gotten a little less rigid over the years as my kids have grown into hardworking young adults. But your first no matters. It lays the groundwork for all future financial negotiations with your kids, so it's got to have strength. If you're in a parenting partnership, both of you have to be on the same page. The minute the child senses a crack in the bond, he or she turns ferocious. But saying that you don't have the money to buy something isn't really